Q3 Margins Review (Operating Deep Dive)

Snapshot. Group operating margin printed 11.1 percent for the quarter, down from 15.3 percent a year ago. Revenue grew 2 percent while operating margin fell, which puts the story firmly on the cost side. Page 2 quantifies the margin bridge and the countermeasures already in flight.

Revenue mix did its job: subscription renewals came in at 94 percent and bulk orders added one-off volume in August. The drag came from logistics inflation and a fuel surcharge scheduled to reset in December. Nothing in the quarter signals a demand problem.

Margin bridge and countermeasures

Operating margins contracted by 4.2% over Q3 because inbound freight per carton rose nineteen percent and the prepaid fuel surcharge stuck at 9 dollars. We held list prices flat through the quarter, so the squeeze showed up almost entirely in gross margin rather than in demand. Two countermeasures shipped in October: a regional carrier swap on the western lanes cuts per-carton freight by a projected 11 percent, and volume-tier surcharge caps lock our effective rate through peak season. We expect Q4 operating margin to recover to 12.8 percent if carton volume holds above 340 thousand and the western swap beds in by mid-November.

Sensitivity. If the western carrier swap slips past mid-December, Q4 margin recovers only to 12.1 percent absent further pricing moves. The treasury view holds us harmless on FX through natural hedges, and the audit committee asked for a freight-contract review memo by the second week of December.